

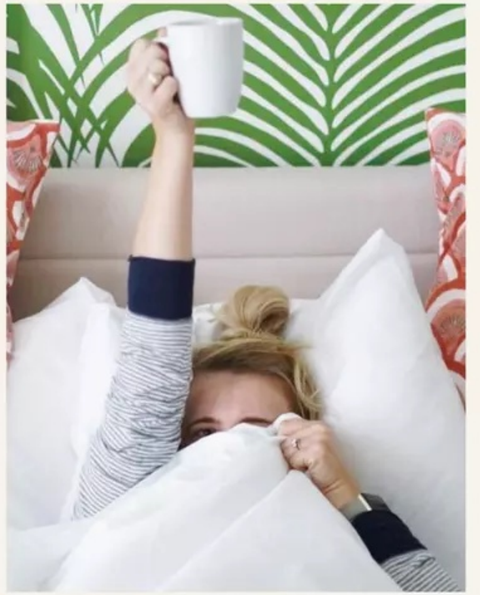














SONDER Series D Deck

Building the future of hospitality

We want to become
the world's largest
and most loved
hospitality brand

SONDER

## We travel more than ever before...

**5%** annual growth

Fastest growing segment of the global economy

**35** days per year

Millennials spend travelling

**50%** by 2025

Of travellers will be millennials















...and needs are changing.

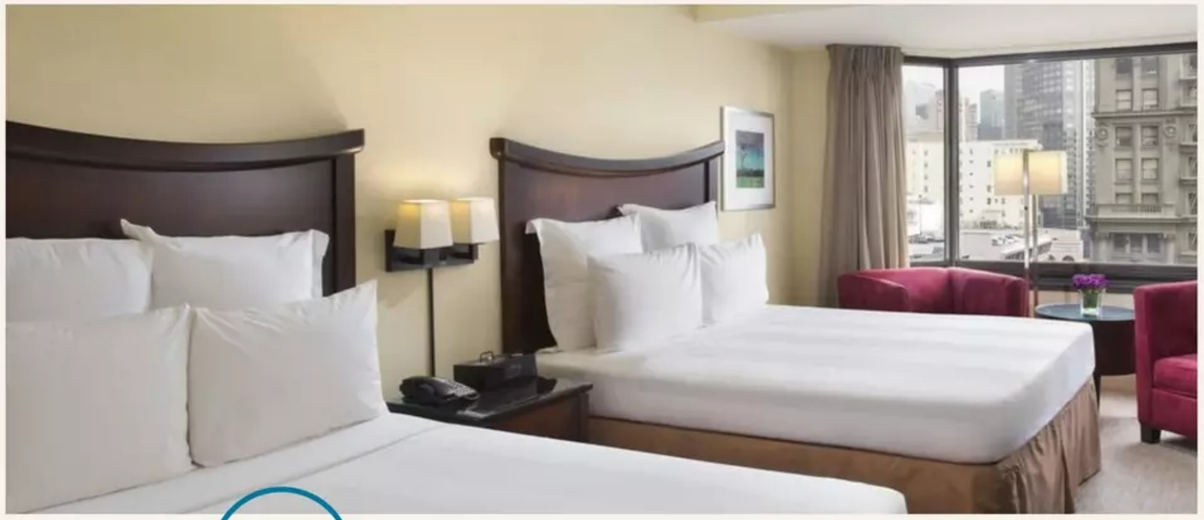
Authentic experience

Digital natives

Social media friendly

Can’t be $400 a night

# Travelers are forced to choose between two flawed options.



01

## Hotels

Soulless

Only downtown

Cramped rooms

Antiquated service

Slow internet



02

## Individual Hosts

Unreliable and inconsistent

Not always clean

Not always comfortable

Spotty responsiveness

Safety concerns

# We’re building the next generation hospitality company.








SONDER

## 1900s

Independent hotels

## 1950s

Big box chains

## 2000s

Peer to peer

## Tomorrow

Tech-enabled brand

# We’re building the next generation hospitality company.



## 1900s

Independent hotels




## 1950s

Big box chains

WAL★MART



## 2000s

Peer to peer

ebay

SONDER

## Tomorrow

Tech-enabled brand

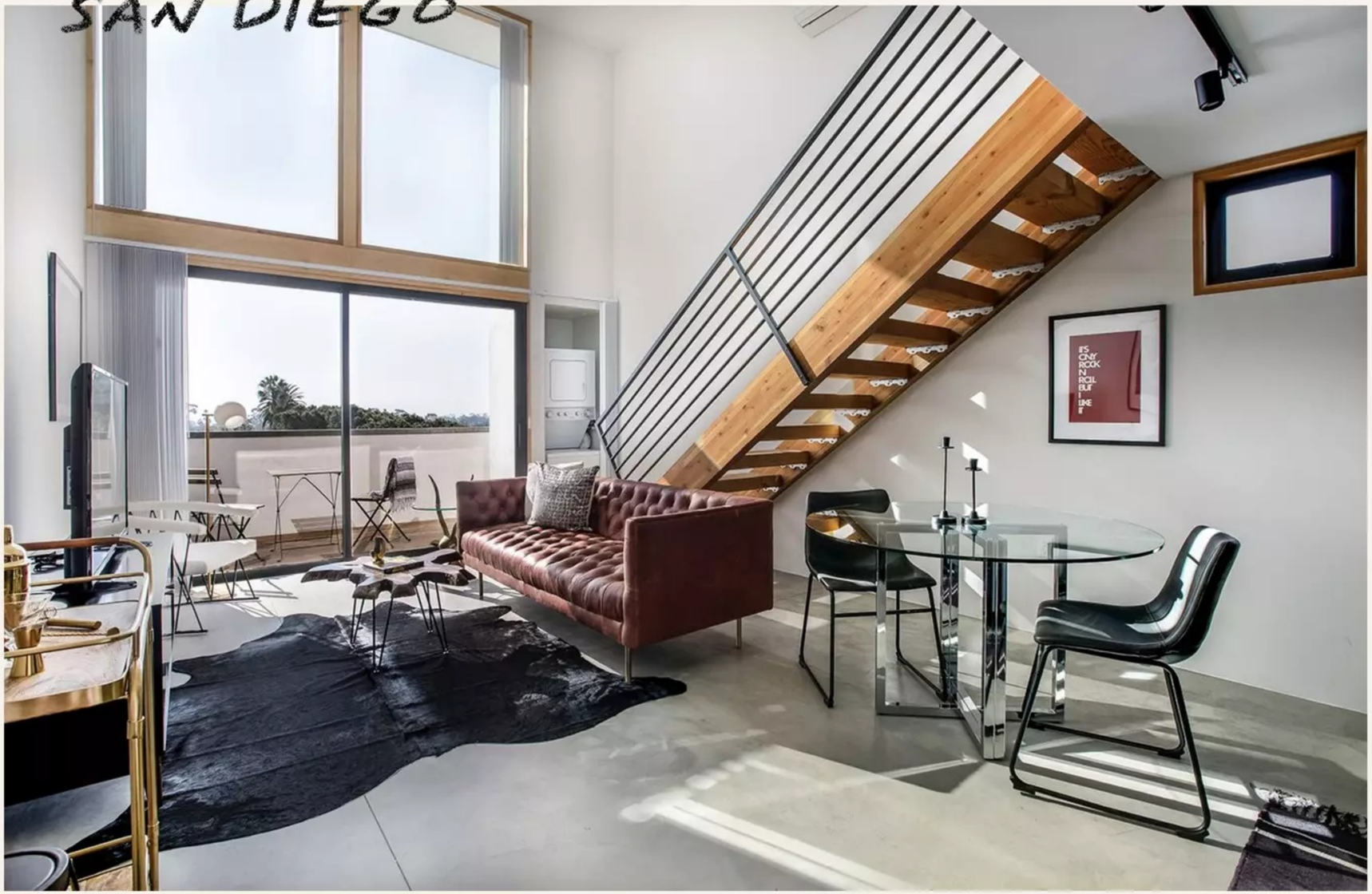
amazon

SONDER

# SAN DIEGO

13 units · North Park

$155
a night







SONDER

New Orleans

111 units · CBD

$151
a night







SONDER

London

16 units · Covent Garden

£181 per room







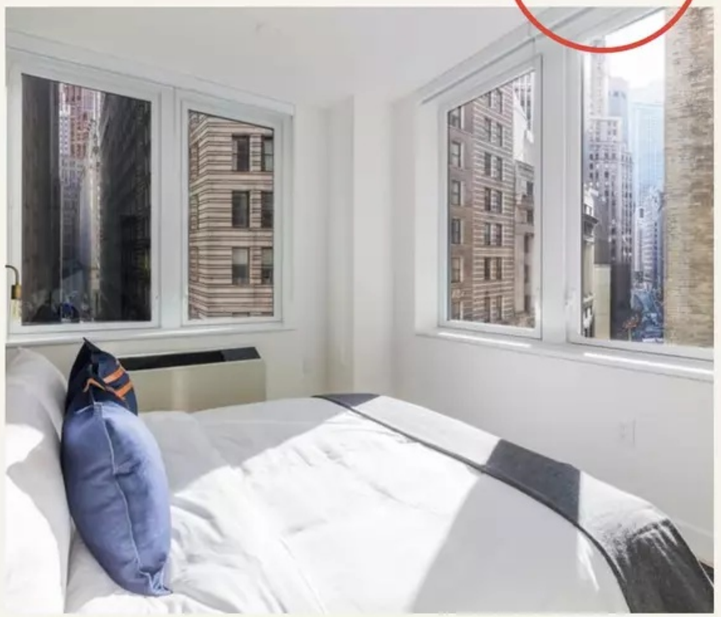
SONDER

new york

169 units · FiDi

$225
a night







SONDER

# We’re the market leader in tech-enabled hospitality.

**$2.3b+**
Assets under management

**700+**
Employees

**28**
Markets

**6,500+**
Units

**$200m**
Total financing

**300,000+**
Guests hosted

**71**
NPS (industry avg 37)

**100%**
Regulatory compliance

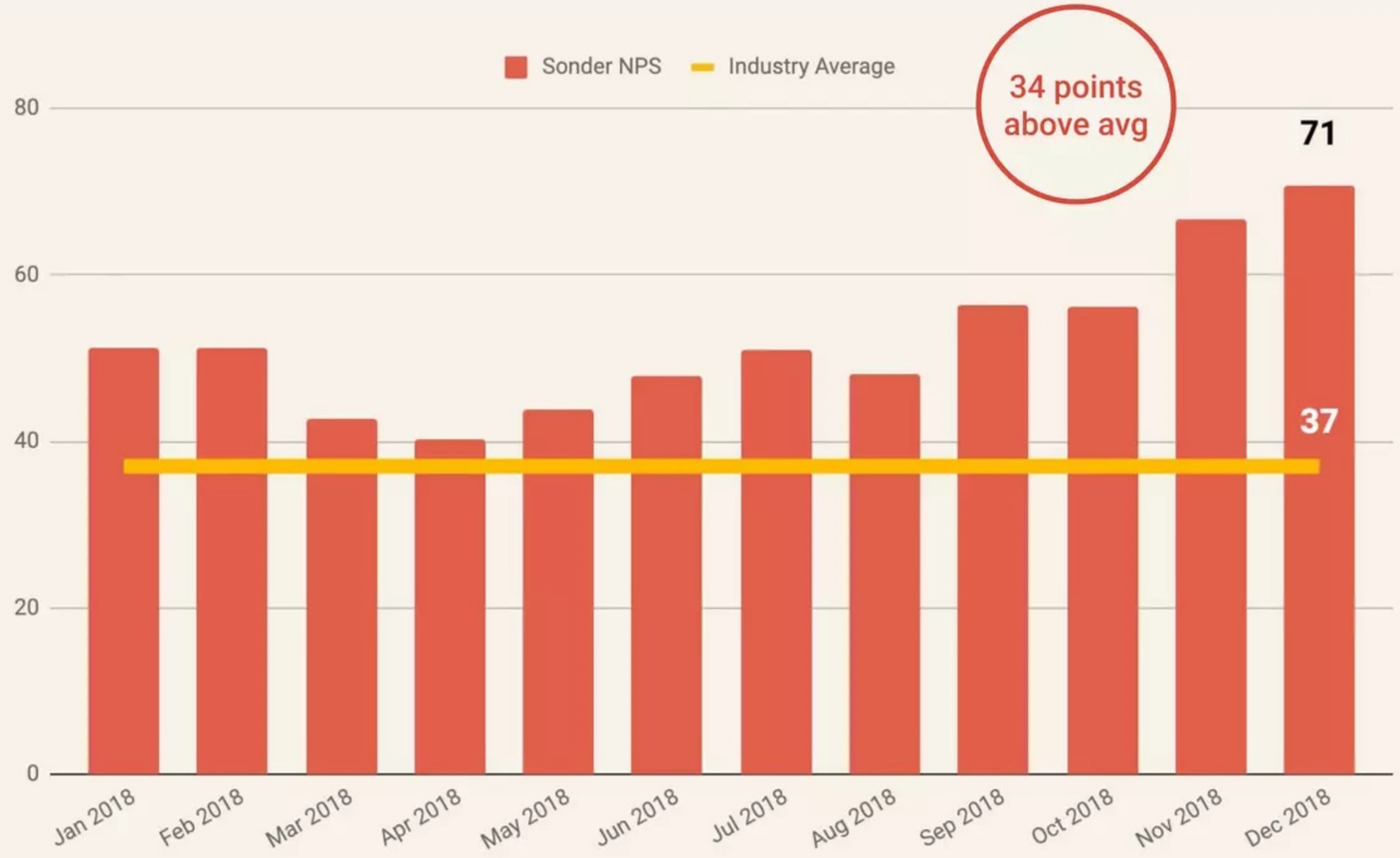
**$313M**
Expected NTM Revenue



SONDER

# Guest Experience

# We built an experience people love...



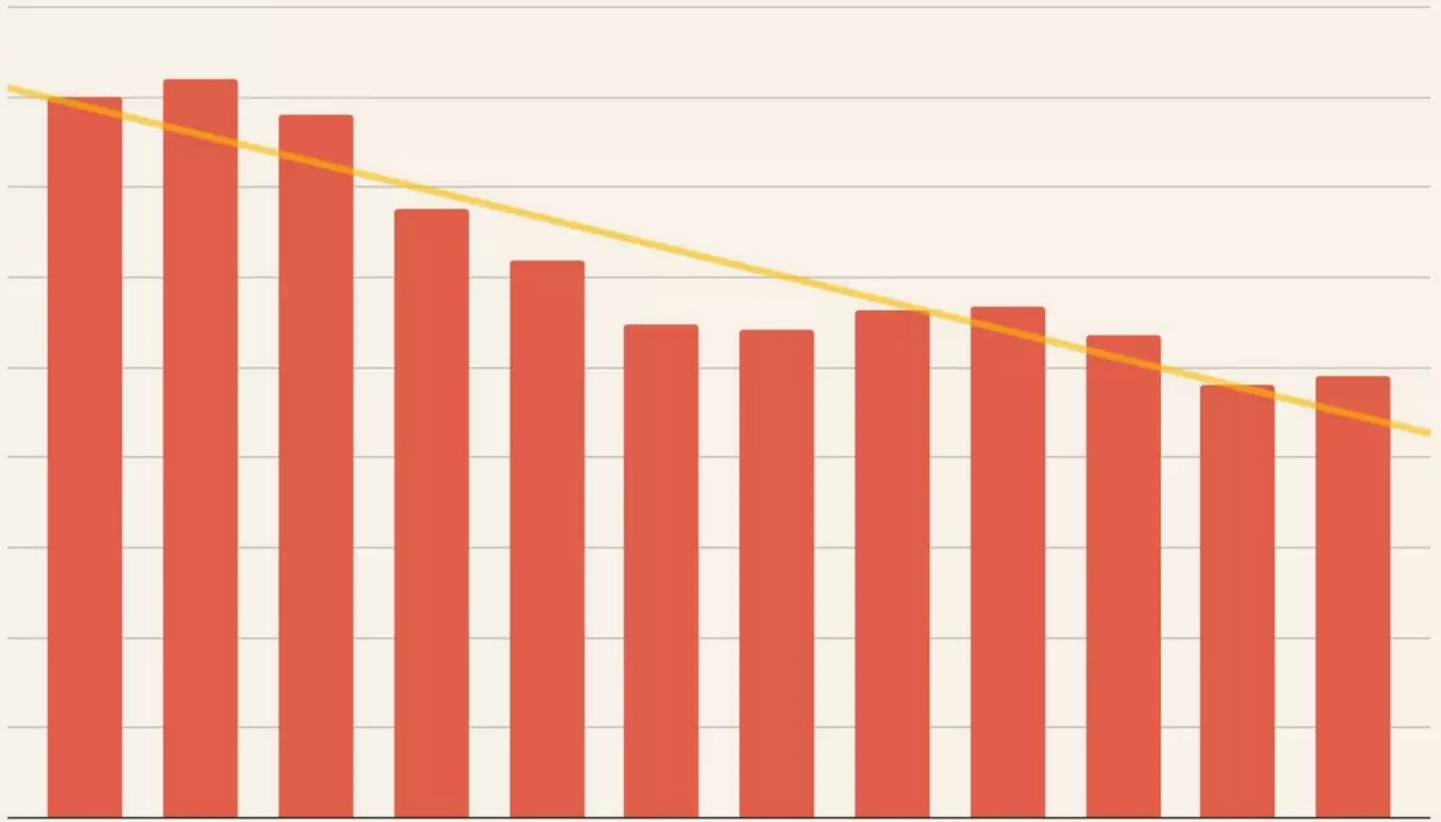

“

We travel frequently with our friend group from all over the country and we found this amazing space... We had never stayed in a Sonder rental before but we will never stay anywhere else again if we have the option!

Lynette
**WEST VIRGINIA**

# ...and made the it increasingly consistent.

**Guest issue rate**



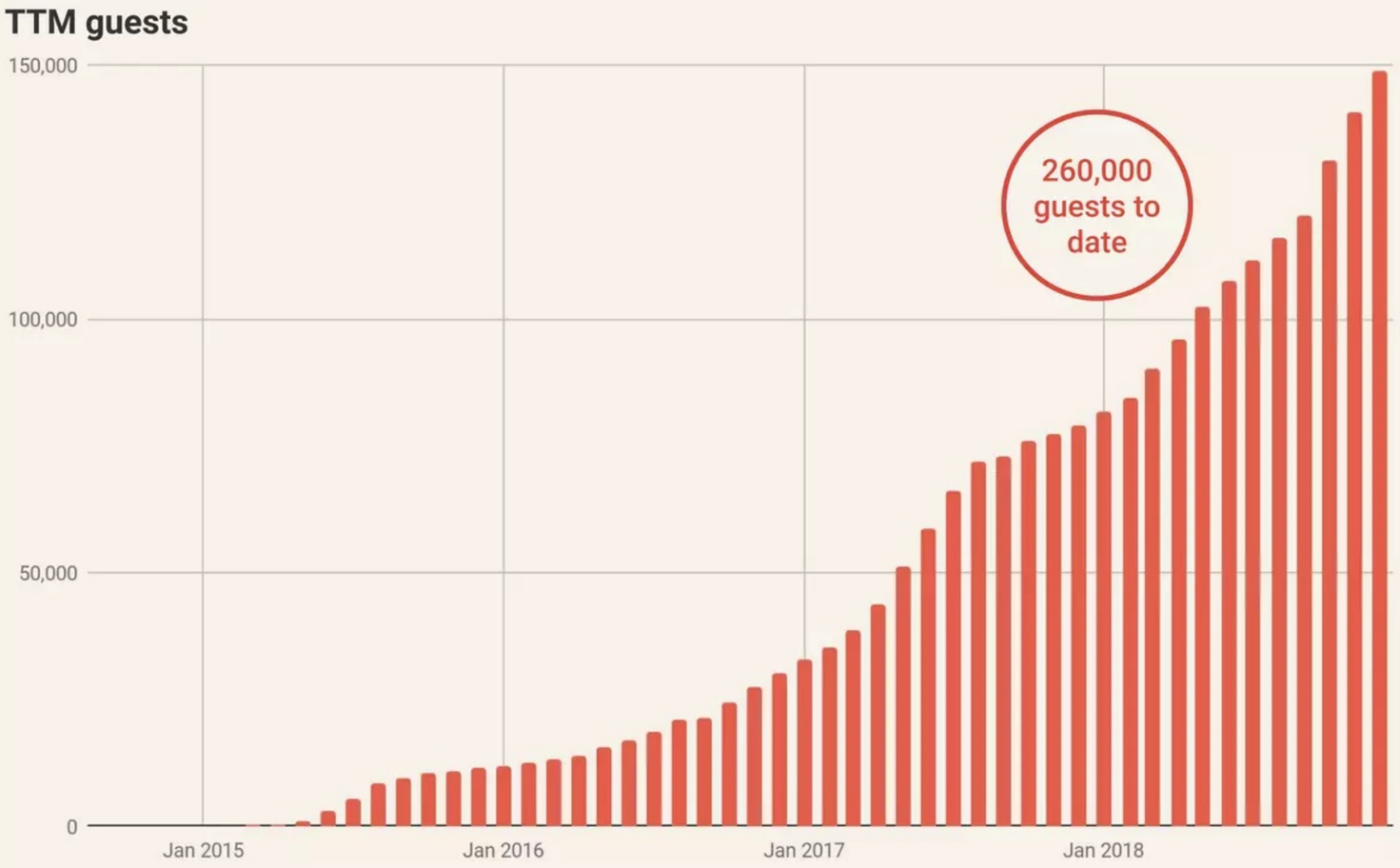
01

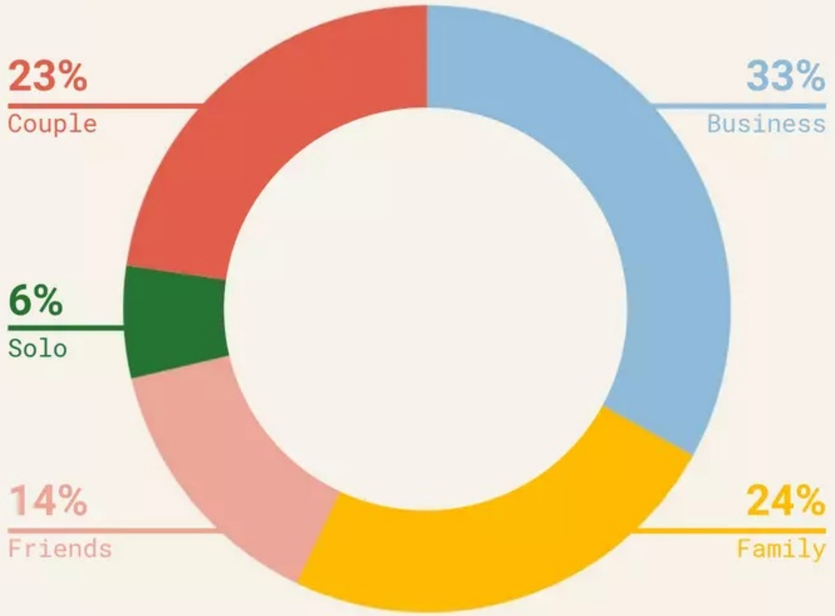
Connected home initiative reduced access issues.

02

QA process implementation, dispatch app improvements, and third party housekeeping incentive plans allows us to identify even more minor issues before guests check-in.

# We accommodated hundreds of thousands of diverse guests.




From 163 Countries in Total

Average Guests per Stay: 2.5

Average Daily Rate (ADR) per Bedroom: $129

Length of Stay: 4 days

What do they want out of a place to stay?

A jaw-dropping space
in a fantastic location
with seamless service

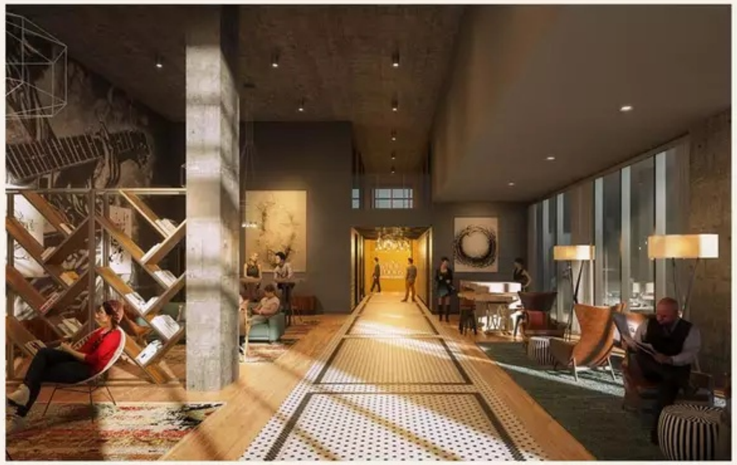
# Outstanding Spaces

Exceptional style

Designed for living

Accommodating groups





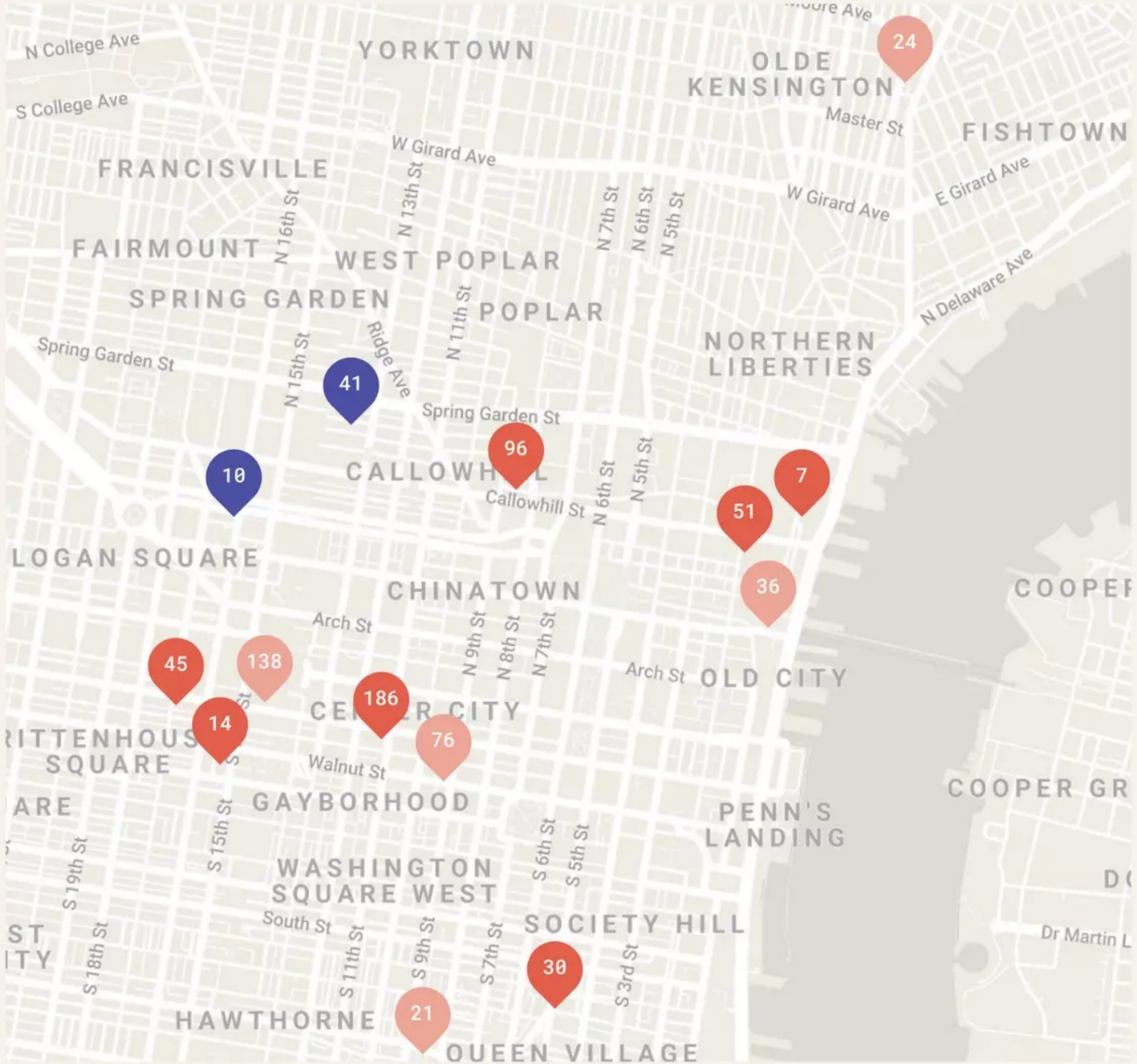


# Best Locations

Walkable neighborhoods

Lively & safe

Large selection

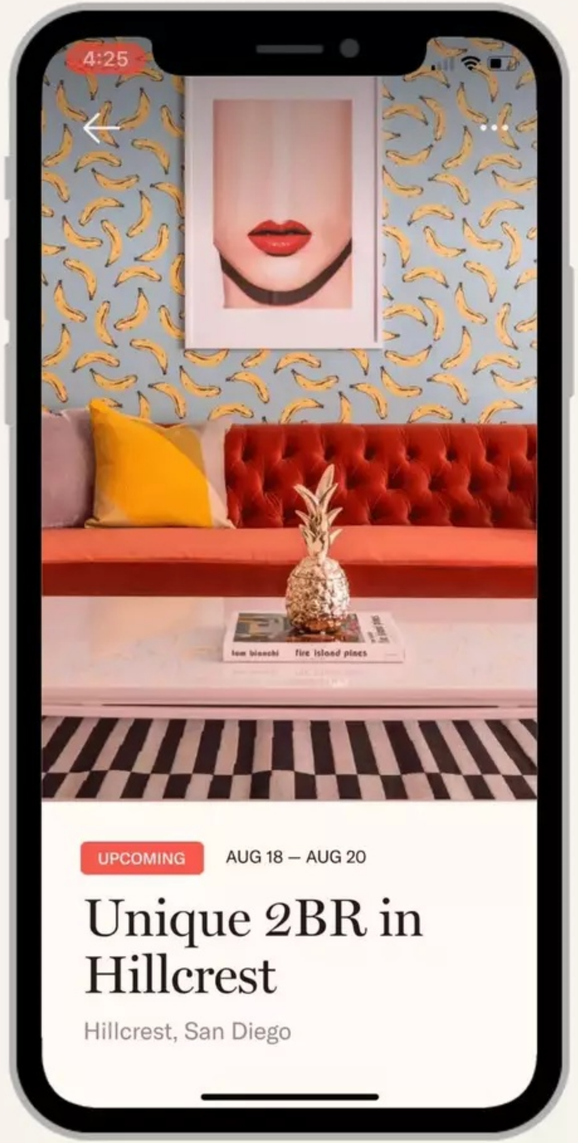


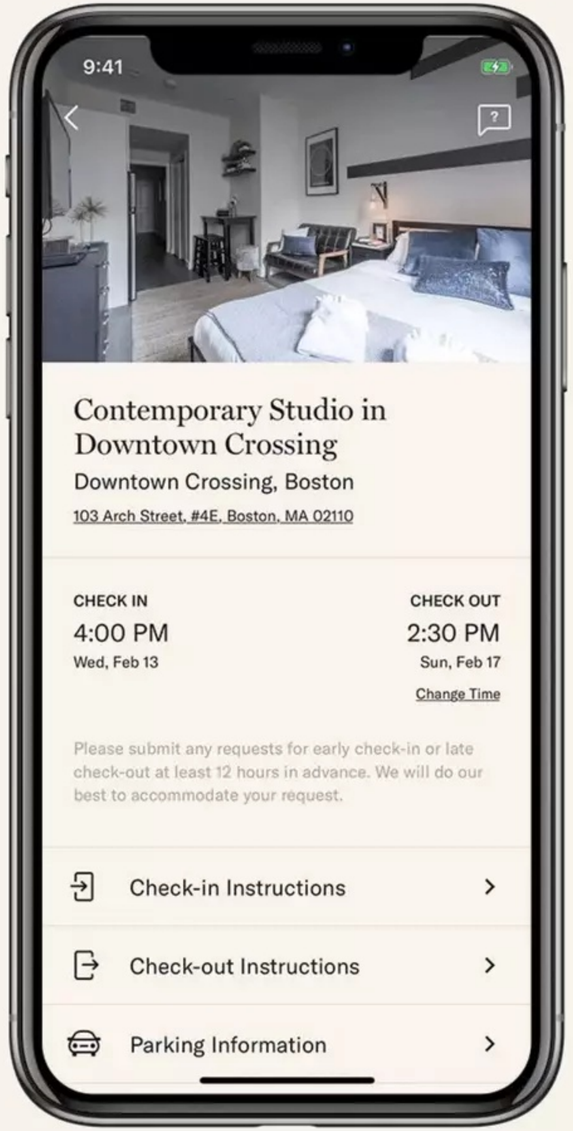
# Mobile-First Service

The lobby is on your phone

Casual and personalized service

No tipping and free, fast wifi



# Unit Economics

# We transformed the hospitality operating model with technology.

(74%)

Hotel Operating Costs



**Process Automation**

Check-ins

Requests

Operations



**Services**

Messaging, not calling

Centralized contact center

Self-serve & automation



**Amenities**

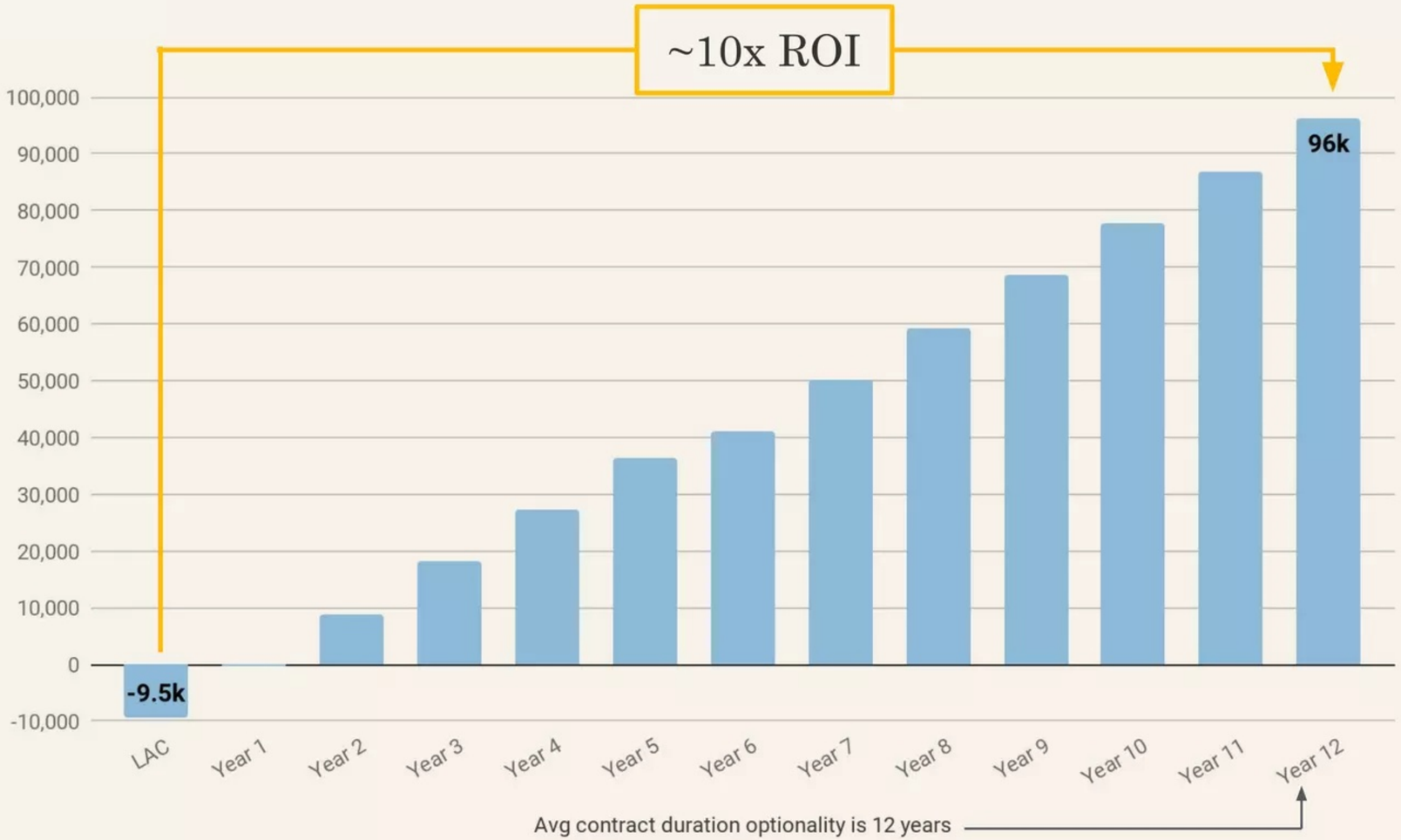
On-demand services

Partnerships

SONDER Operating Costs

# We built a very strong business model.

**Cumulative cash flow by unit, assuming no future improvement**




**Three unit economic levers**

01

Improve revenue per available day.

02

Decrease direct costs.

03

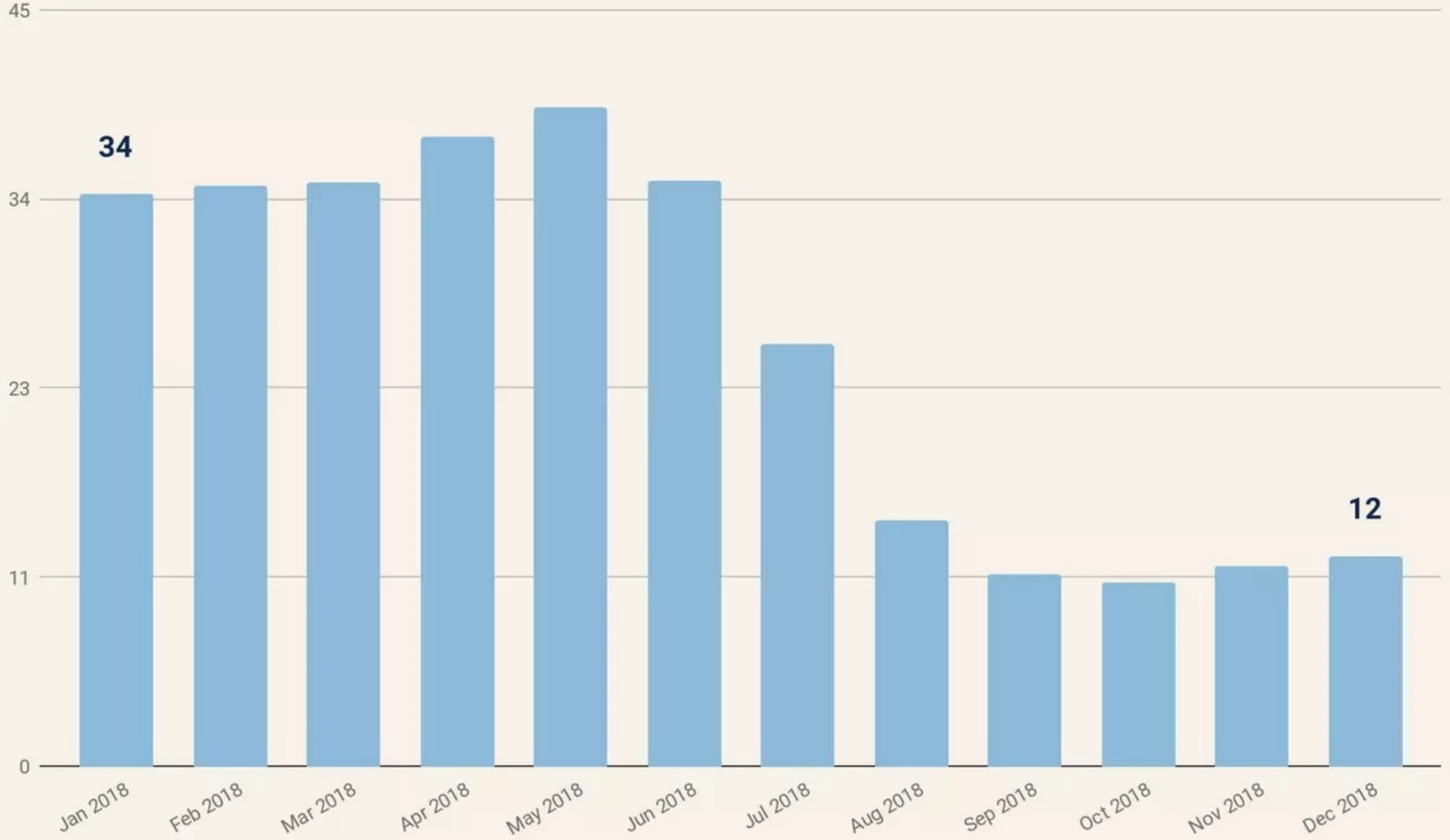
Decrease location acquisition cost (LAC).

SONDER

Note: Assumes CapEx refresh at year 6.

# In 2018 we completely transformed our unit economics.

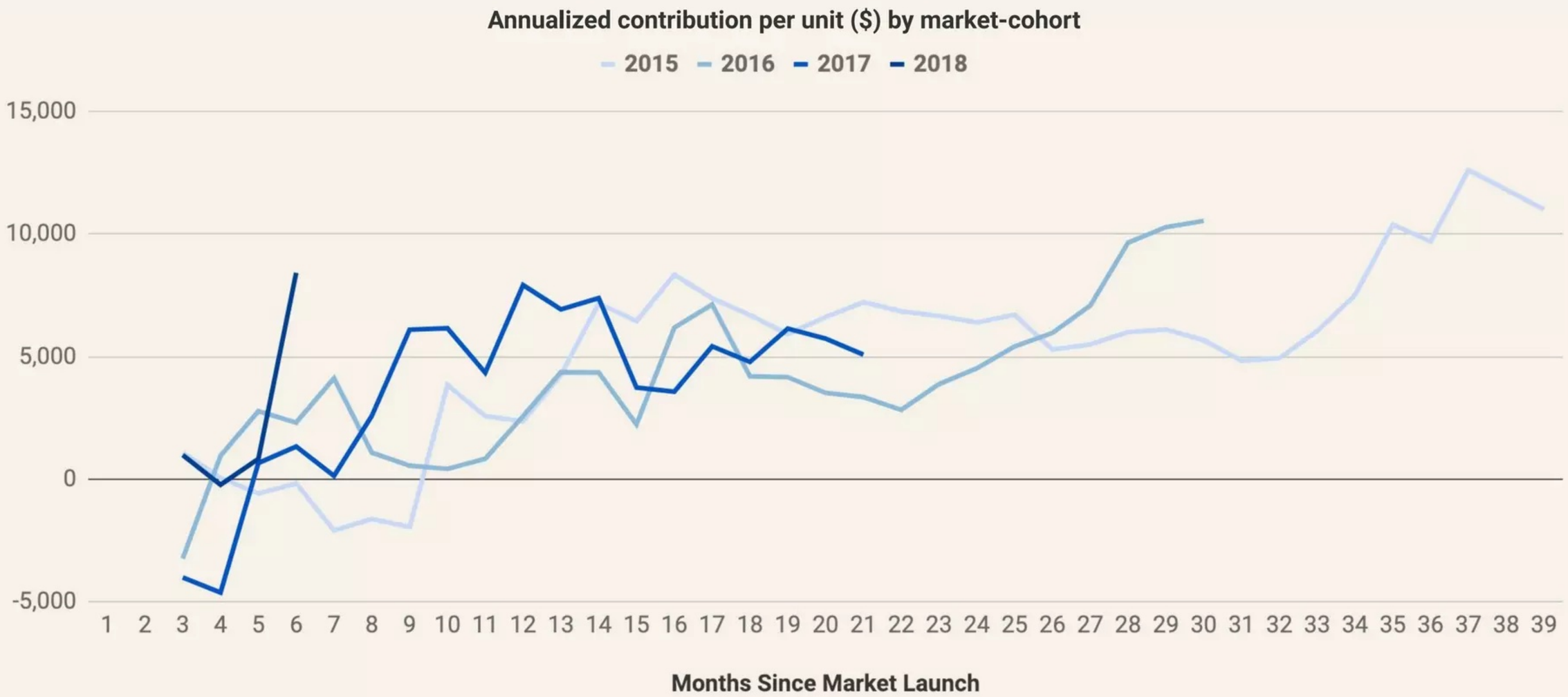
**Location acquisition cost payback (months)**




| Location Acquisition Cost (LAC) | 2017 | 2018 |
|---|---|---|
| CapEx | [redacted] | [redacted] |
| Rent during Setup | [redacted] | [redacted] |
| Security Deposit | [redacted] | [redacted] |
| Rent Abatement | [redacted] | [redacted] |
| Revenue Ramp-Up | [redacted] | [redacted] |
| **Total LAC** | **17,611** | **9,530** |

| Annual Unit Contribution | 2017 | 2018 |
|---|---|---|
| Revenue | [redacted] | [redacted] |
| Rent | [redacted] | [redacted] |
| Direct Costs | [redacted] | [redacted] |
| **Contribution** | **6,284** | **9,206** |

# Our markets are generating an increasing amount of contribution...



# ...making all of our markets with over 100 live units profitable.

**Contribution margin by market**



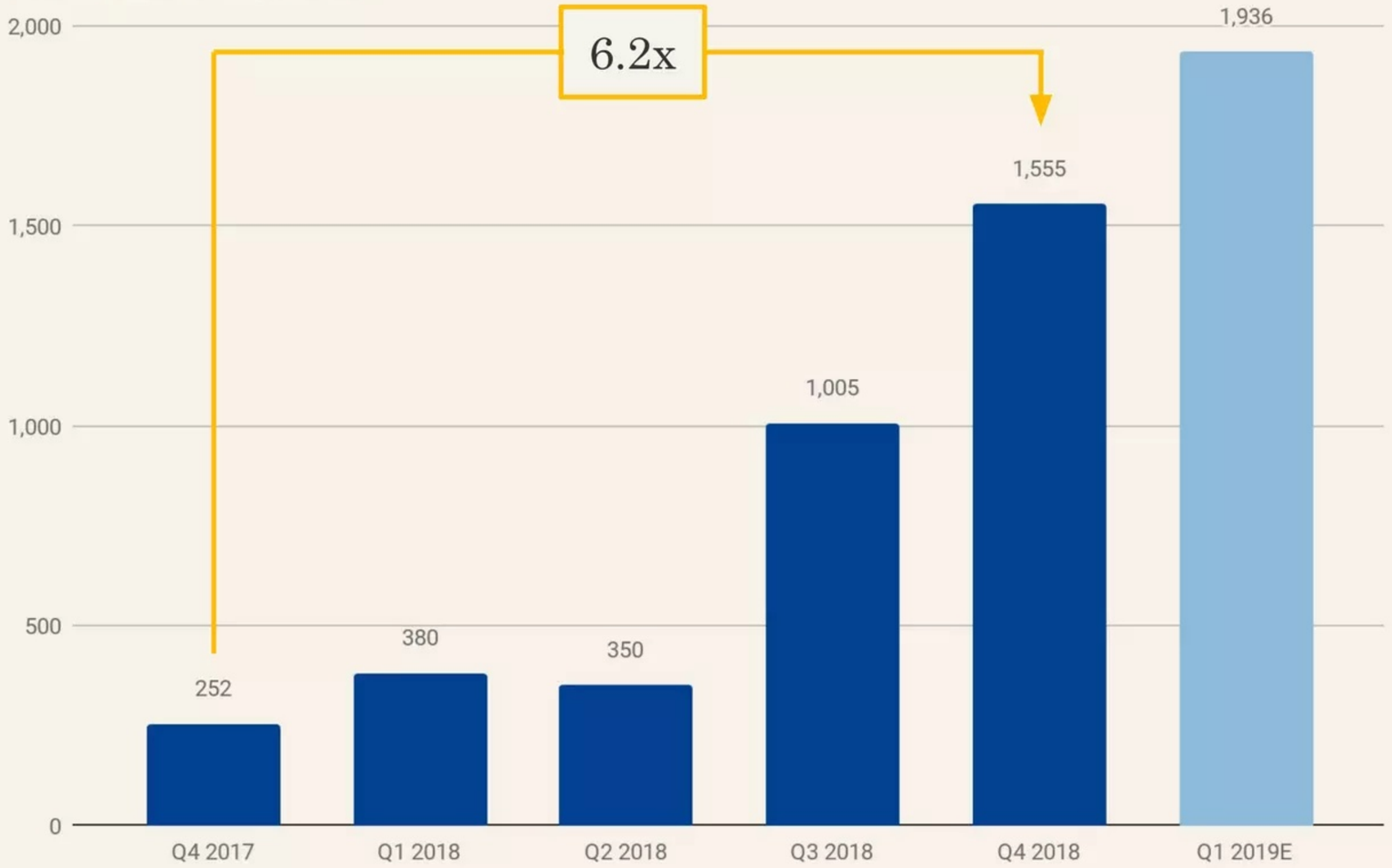

**EBITDA margin by market**



# Supply

# Breakout growth started in Q3 2018...

**Units signed per quarter**




## 01

Following our unit economics success, we turned our attention to growth and in H2 added supply that will generate 148M of annualized revenue.

## 02

Our productivity per person has increased from 7 to 30 units per month over the last 12 months.

## 03

Our average deal size is now 19 units (vs 5 units as of YE 2017), and we currently have 2,400 units signed or in lease negotiation for Q1.

# We achieved 100% compliance by targeting under-construction supply that meets hotel standards.

## Zoning

All new units are commercially zoned and eligible for hotel or transient licensing

## ADA

Compliance with ADA guidelines in all non-exempt properties

## Insurance

$10M in liability coverage

## Taxation

Pay relevant tourism, value added and municipal taxes

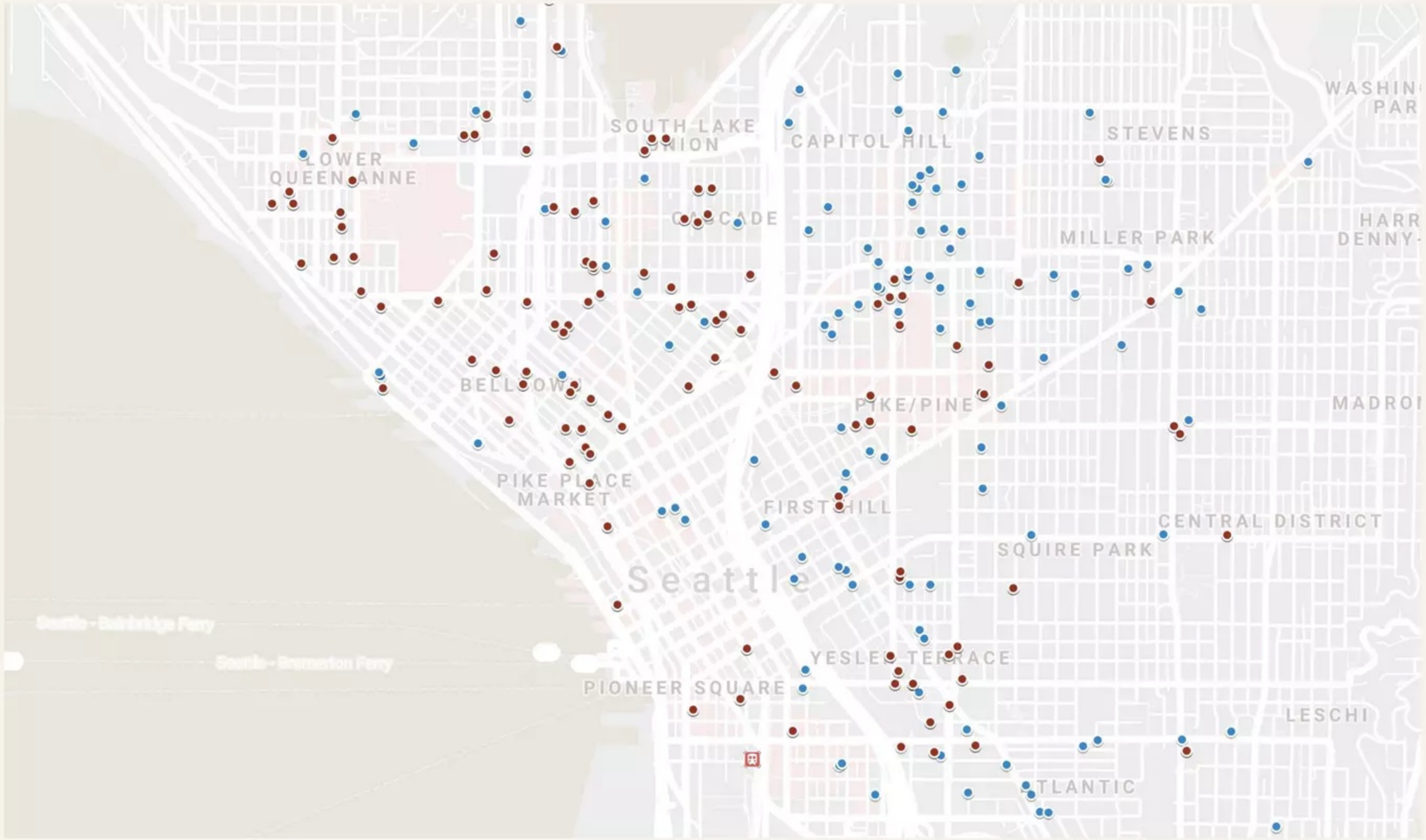
## Fire & Safety

Compliant with all local fire and safety requirements

## Inspections

City staff available to assist regulators for periodic inspections

# We identified all developments in the US.




**296K**

Completed units in top US cities in 2019

**88K**

Opportunities

Class A Buildings, Attractive Locations, and Correct Zoning

# We built a growth machine that delivers high quality and volume...

01

## Accurate Underwriting




02

## Sound Investments

Brand standards

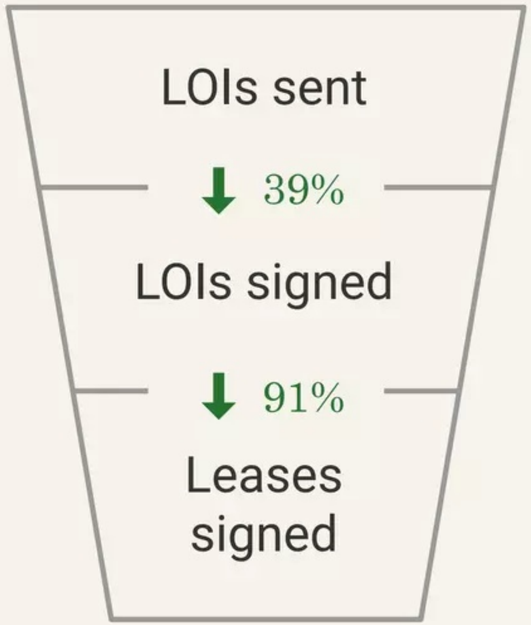
Contribution margin

Payback

Risk

03

## Predictable Conversion

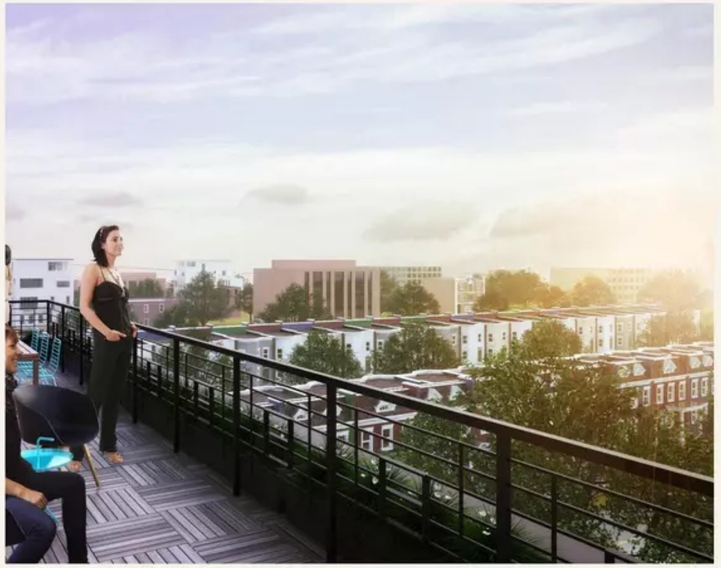


SONDER

# Washington, D.C.

9 units · March 2019





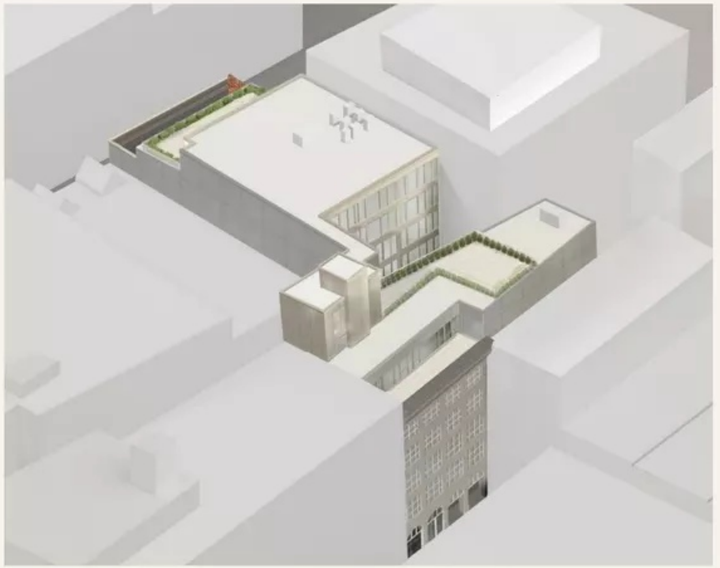


SONDER

montreal

46 units · October 2019



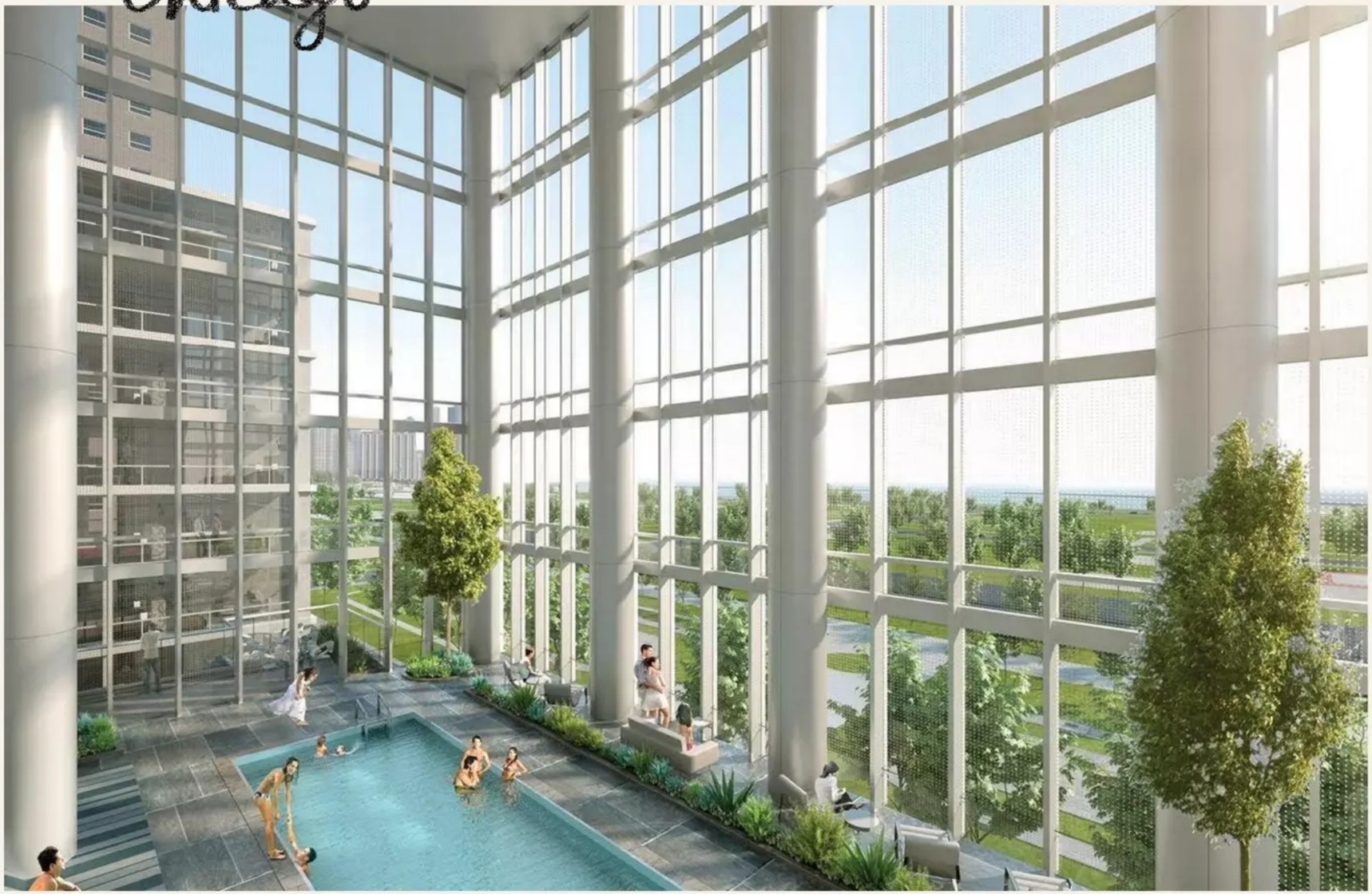




SONDER

Chicago

95 units · July 2019







SONDER

Philadelphia

96 units • July 2019

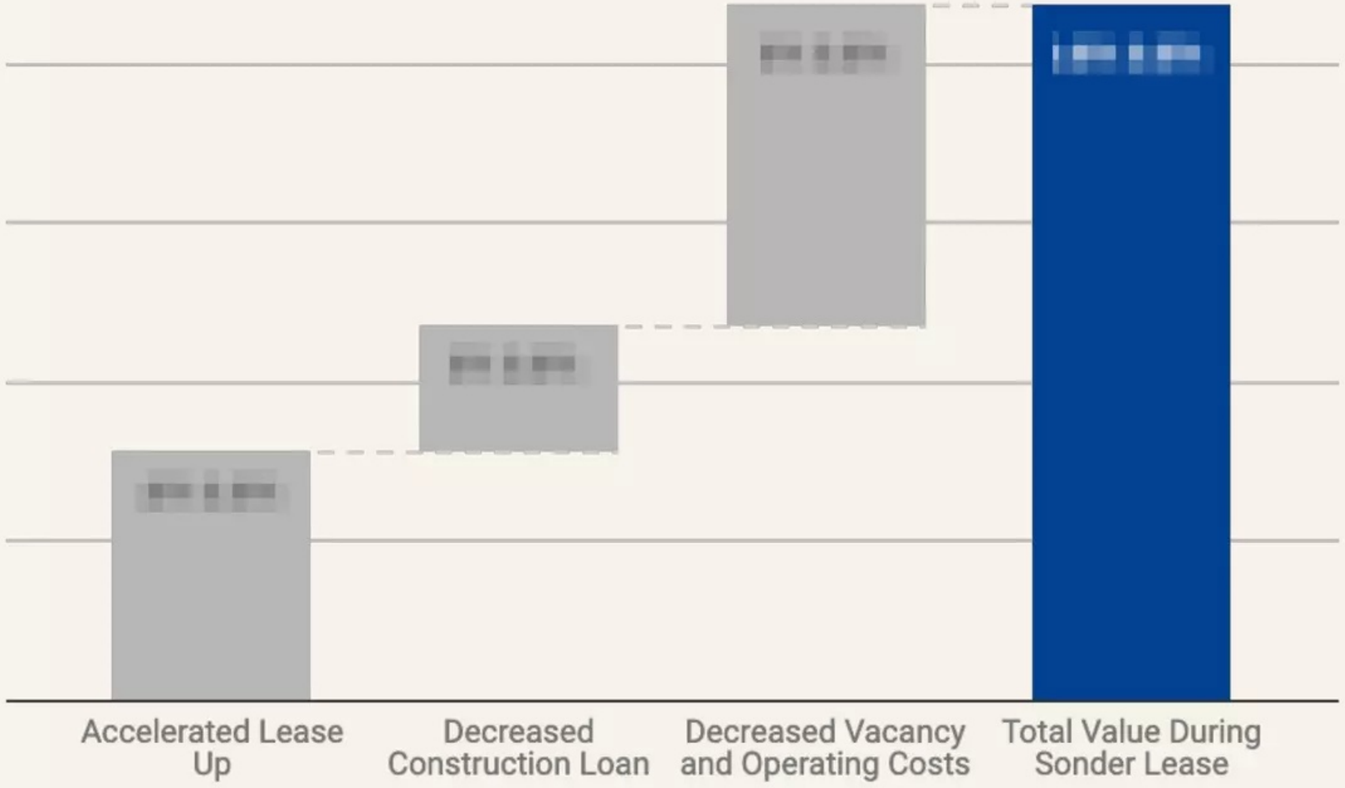







# Strong value add compared to multifamily leasing

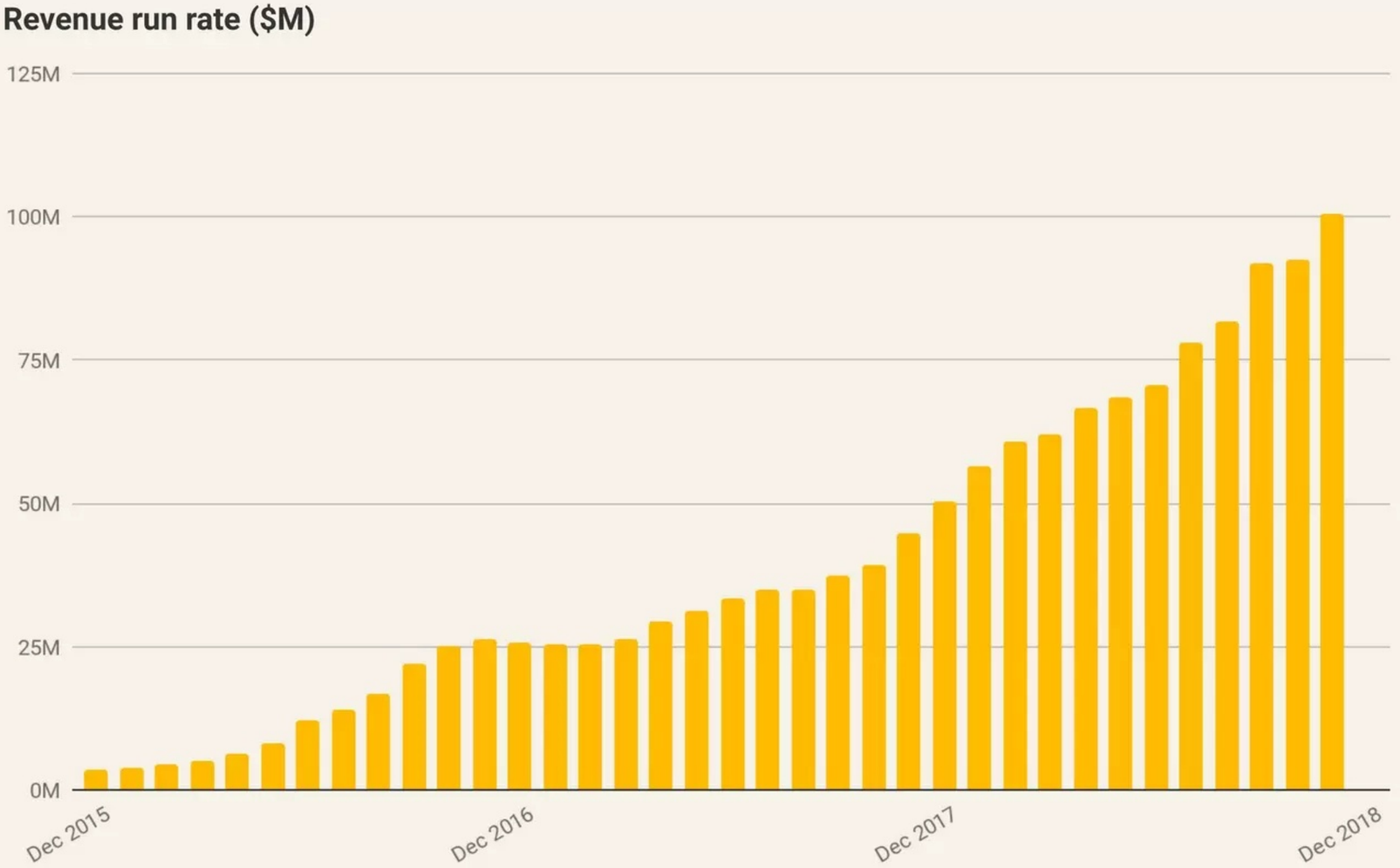
**Value add for developer relative to traditional multifamily use**






# Demand

# We surpassed 100M run rate with no direct marketing spend...




77% occupancy

01

Scalable and cost-effective distribution partnerships.

02

Great experience fuels 5 star reviews and high search ranks.

03

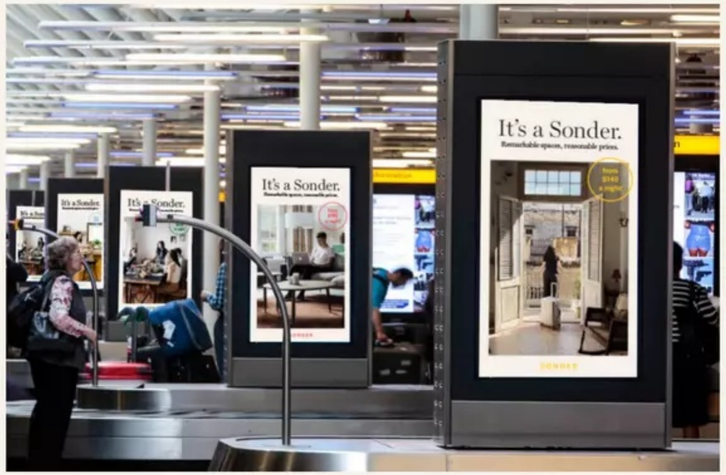
Brand awareness and repeats are translating into more direct bookings.

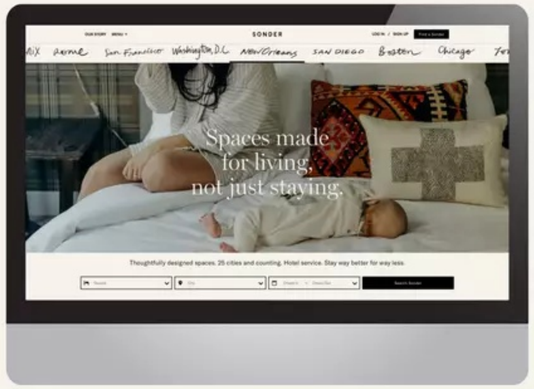
# In 2019 we will finally lay the foundations for what will become an iconic consumer brand.

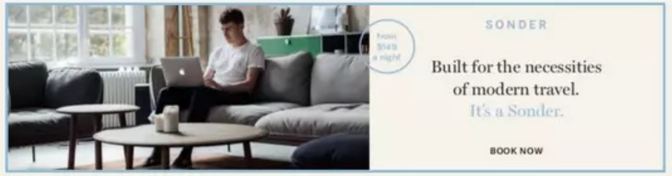








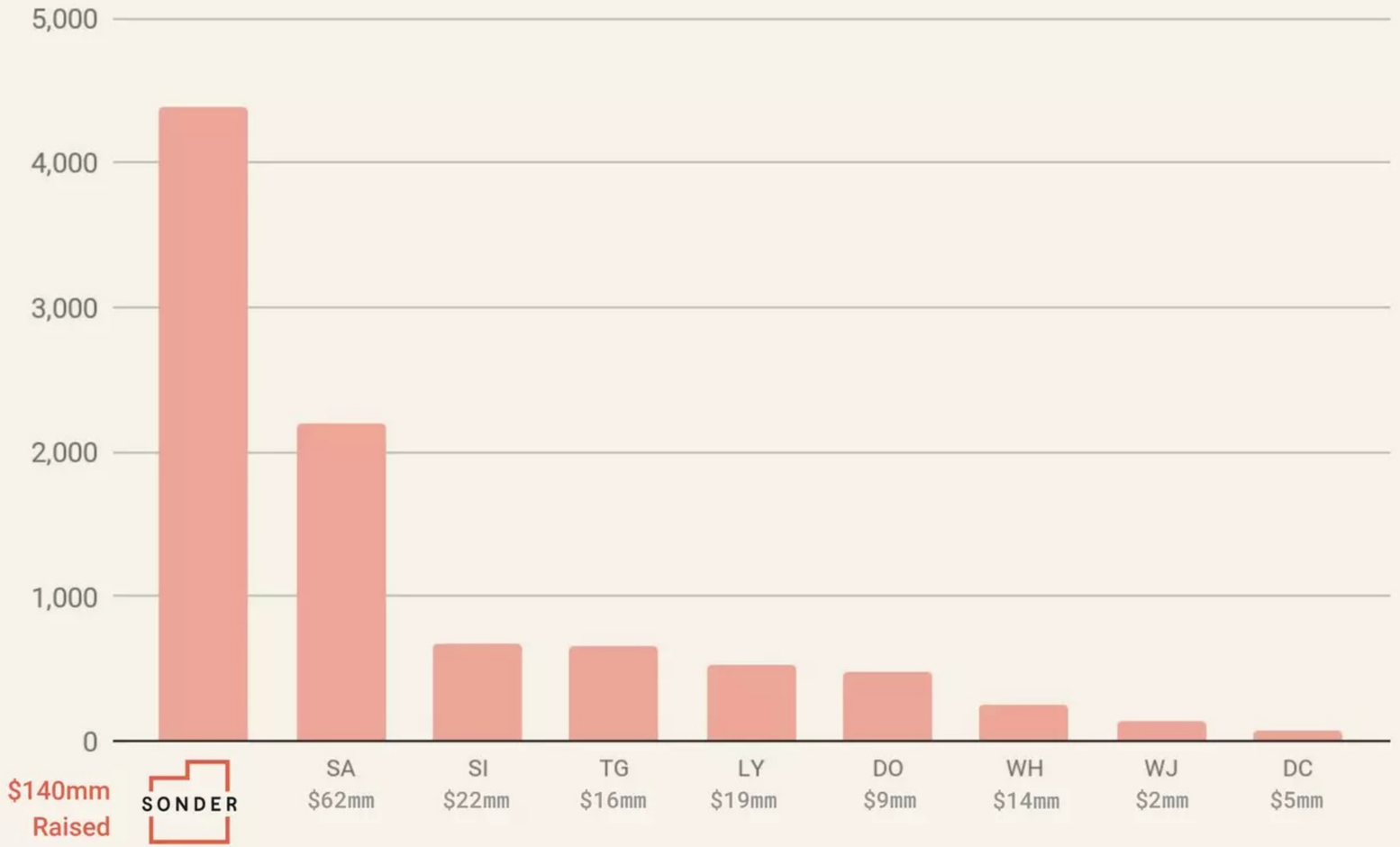





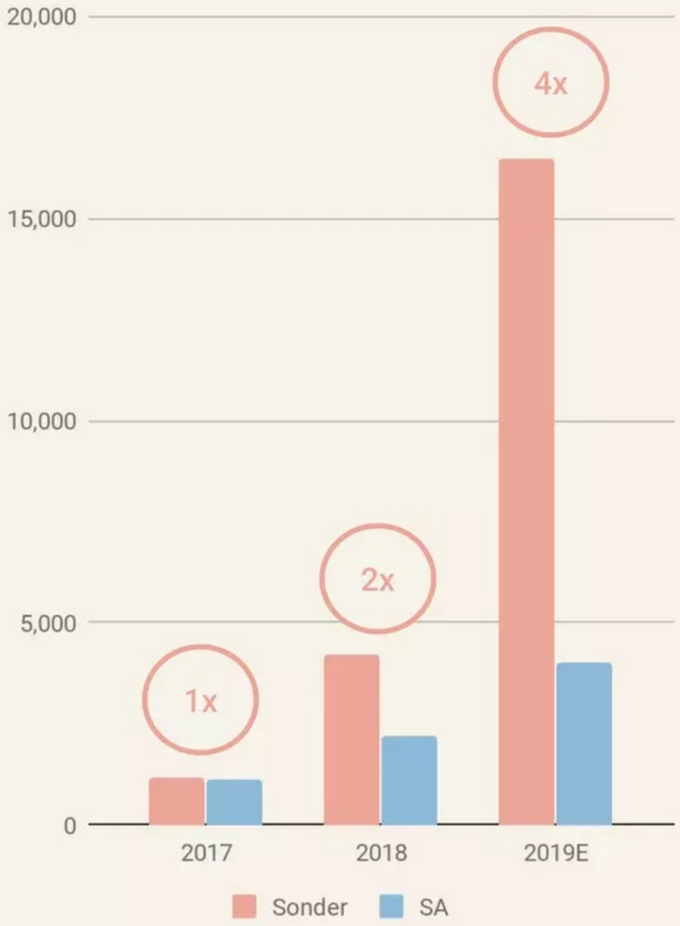

# Defensibility

# We're larger than all of our VC-backed competitors combined.

**Total units**




**Sonder vs Stay Alfred**




SONDER

Competitor units from "Biggest Vacation Home Operator Moving Into City Market," *The Information*, with extrapolated growth.
SA2019 goal from "Spokane-based Stay Alfred receives $47 million for expansion," *The Spokesman-Review*.

# The larger we are, the more we will leverage our scale to dominate supply and demand...

**Developers choose the strongest operator**

Best capitalized

Most operationally sophisticated

Best track record & relationships

Only bidder

**Guests choose the prominent brand**

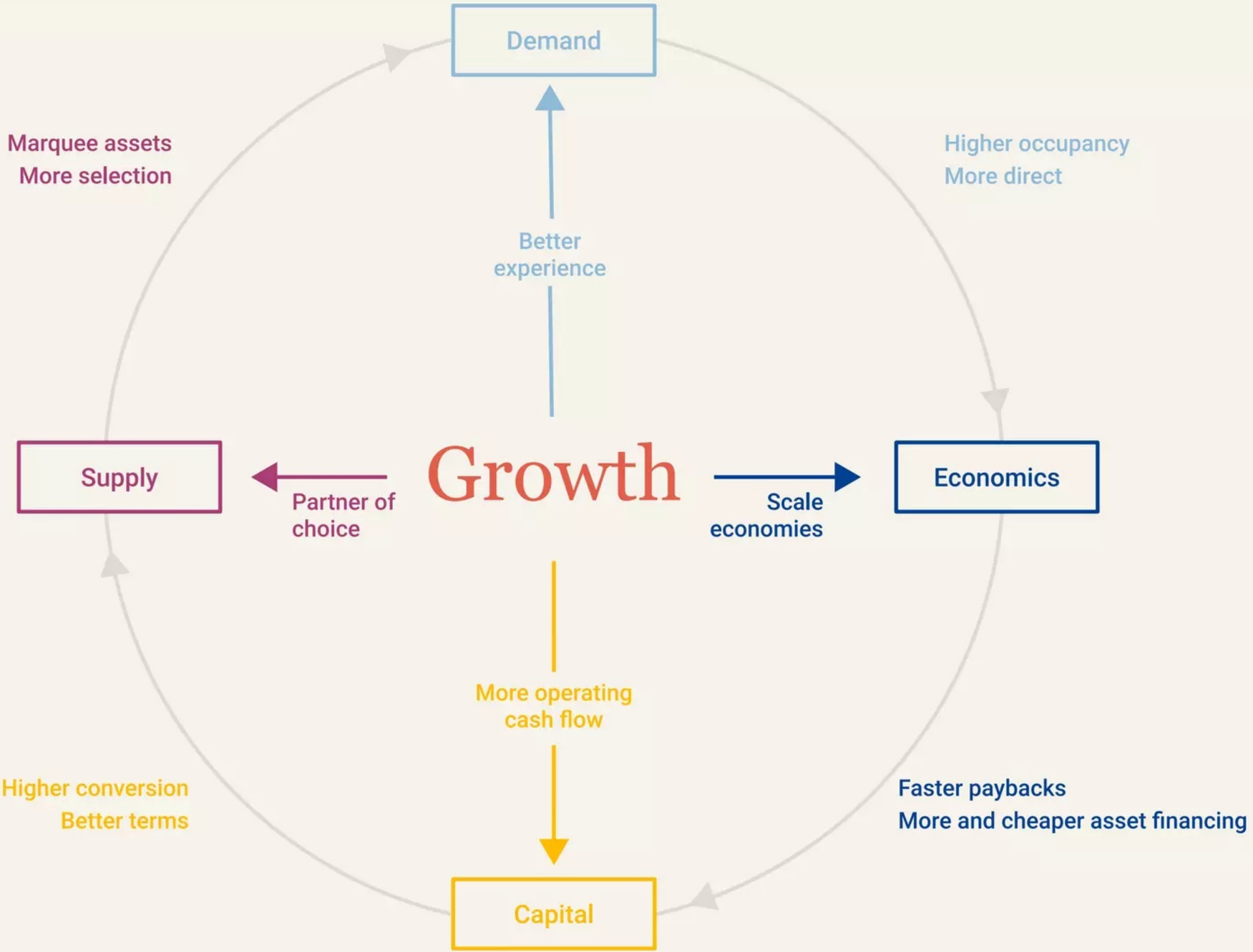
Ubiquitous across top markets

Better tech and service

Strongest brand

Most attractive price

...creating the Sonder Flywheel.



# We’re aiming to be the largest hospitality brand in the world by 2025...




01

Need 4,100 new units per month.

02

Currently signing 800 units per month.

03

Requires going from 21 productive cities to 105 productive cities at the same city growth velocity.

# ...and are uniquely positioned to take on three other trillion dollar verticals.









## 2020

Transform traditional hotels

## 2021

Everything in a Sonder is for sale

## 2022

Housing as a service



**Sanjay Banker**, ***CFO***
B.S. in Economics from Wharton; M.B.A. from Harvard Business School. Previously Partner at TPG Capital for 6 years; Principal at Bain Capital for 8 years; Engagement Manager at McKinsey for 6 years.



**Deeksha Hebbar**, ***VP of Operations***
B.S. in Economics and B.S.E in Engineering from Wharton and the School of Engineering at the University of Pennsylvania; M.B.A. from Harvard Business School. Previously, VP of Business at Luxe; senior roles at McKinsey and Google.



**Melissa Lightbody**, ***VP of People***
Previously VP, Enterprise Business Operations & Transformation Management Officer at Vituity; Sr Director, HR at Trulia; VP, Global Head of People and HR Operations at Machine Zone, Inc.



**Marley Dominquez**, ***Managing Director of Real Estate***
B.S. in Accounting and Finance from Clemson University. Previously, Managing Director at Apple Investment Group; VP of Acquisitions for the Kuwait Pension Fund; headed real estate acquisitions for the Royal Family of Abu Dhabi.



**Craig Rashkow**, **Sr. *Director of Customer Service***
B.S and M.S. in Engineering from Dartmouth; M.B.A. from U Chicago Booth. Previously, Director of Sales Operations at McMaster-Carr.



**Julia Otis**, ***Director of Interior Design Operations***
B.A. in History of Art and Architecture from Brown, M.B.A from Yale. Previously Global Design Operations at Airbnb Plus; Head of Strategy and User Experience at True Link Financial; Consultant at the Bridgespan Group; Paralegal at the ACLU.



**Phil Rothenberg**, ***General Counsel***
J.D. in Law from Georgetown; B.A. in Economics and Foreign Affairs from UVA; M.I.B.S. from USC. Previously VP of Legal at Tesla for 7 years; Attorney-Advisor at the U.S. Securities and Exchange Commission; Adjunct Professor of Law at Georgetown.



**Vivek Subramanian**, ***VP of Product & Engineering***
B.S. in Computer Science from BITS Pilani in India; M.S. from the Univ of Texas at Austin; M.B.A. from UC Berkeley Haas. Previously, SVP and Head of Product at Coupang; co-founded CalmSea, a Big-Data startup; positions at Oracle and Siebel.



**Arthur Chang**, ***Senior Director of Expansion***
B.S. in Hotel Administration from Cornell University. Previously VP of International Development and Head of Accounts at Coyle Hospitality Group; positions at Starwood, Nikko Hotels, and InterContinental; co-founder of Soarigami.



**Ana Nekhamkin**, ***Director of Real Estate Expansion - Europe***
Summa cum laude from Wharton. Previously, Managing Director at Inhabit; positions in real estate acquisitions and development for lifestyle hotel companies such as Morgans Hotel Group, Ian Schrager Company and Virgin Hotels.



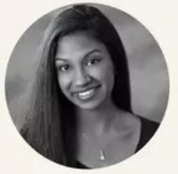
**James Ondrey**, ***Regional General Manager***
B.A. in Finance from Miami University. Previously, one of the first Uber GMs then Head of Midwest Operations at Uber; CEO at SeatQuest; multiple investment banking roles.



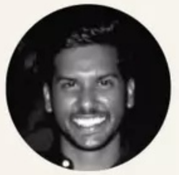
**Laura Hoxie**, ***Director of Hospitality***
B.S. in Hotel Administration from Cornell; M.B.A. from the University of Michigan Previously, Director of Guest Experience at Hilton Worldwide; positions at Four Seasons and Avero.



**Martin Picard**, ***VP of Finance and Global Head of Real Estate***
C.P.A.; B.Comm. in Accounting from Concordia University. Previously CEO of Adzura; Finance at Ned Davis Research; Senior Financial Auditor at Deloitte.



**Shruti Challa**, **VP of Revenue**
B.A. in Economics and Political Science from Stanford; M.S. in Predictable Analytics / Data Science from Northwestern. Private Investor; GM / SVP - New Business & Strategic Partnerships) at Rocketmiles (Booking.com subsidiary); Head of Marketing and Sales Strategy at Groupon Rewards..



**Kiran Rao**, ***Head of Supply Growth***
B.S. in Finance from the University of Illinois. Previously worked in corporate development at LinkedIn; VP at Campus Explorer; Associate at Vicente Capital Partners; and Investment Banking Analyst at BMO Capital Markets.



**Amrish Desai**, ***Director - Investment Analysis & Research***
B.S. in Finance from Boston University. Previously Director of Research - New Developments at Compass; VP at JP Morgan; Senior Underwriter at JP Morgan Chase.



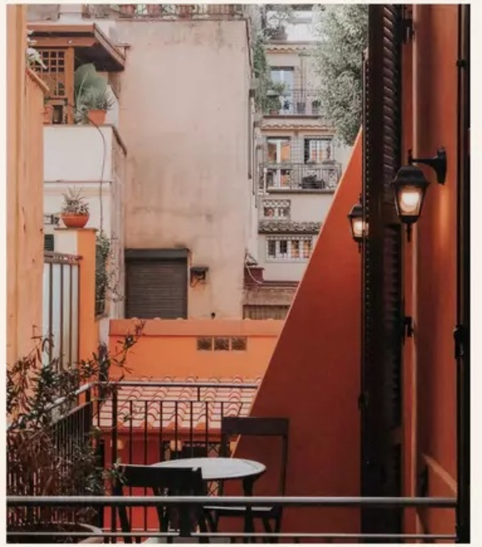
**Jeff Sun**, ***Director of Operations - Supply Chain***
B.A. in Political Science from Yale; M.B.A. from MIT Sloan School of Management. Previously General Manager at Amazon PrimeNow; positions at Deloitte, twoXAR, and Nike.

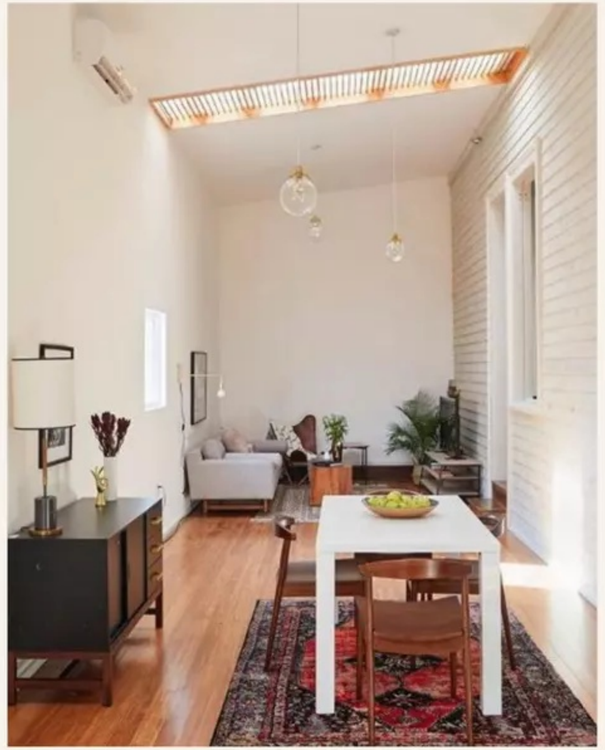


**Mason Harrison**, ***Director of Communications***
B.S. in Political Science and Government from UC Davis. Previously ran the political campaigns and/or represented John McCain, Carly Fiorina, and Arnold Schwarzenegger; VP of Communications at Crowdpac.

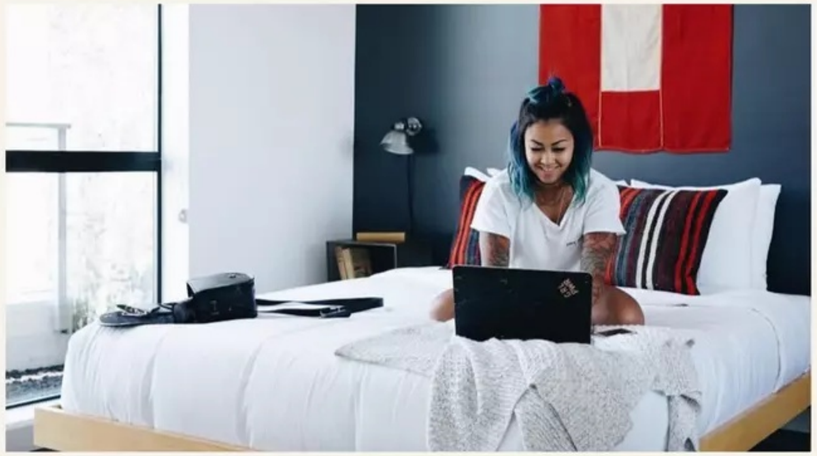
















SONDER

Thank you